

Tesla Q3 2025 Earnings Transcript

Blind Sentiment & Directional Score

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Research:** Google is allowed for context (definitions, prior-quarter framing, industry data). Not allowed before sealing: the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Tesla, Inc. (TSLA)
Report	Q3 2025
Release date	Wednesday 22 October 2025, after close
Earnings call	5:30pm ET
Source transcript	Motley Fool
Press release	Form 8-K, SEC EDGAR, filed 22 October 2025
Read mode	transcript and news only
Time to produce	60 minutes

Source material (read this first)

Headline financials

- Automotive revenue up 29%, with deliveries up across regions (Greater China and APAC +33%, North America +28%, EMEA +25%).
- Automotive margin excluding credits rose from 15% to 15.4%.
- Energy storage set records on deployments, gross profit and margins.
- Record free cash flow of about \$4B, with cash and investments above \$41B.

Forward guide

- Capex about \$9B this year with a substantial increase expected in 2026 for AI initiatives including Optimus.
- Robotaxi expansion targeted, with safety drivers removed in parts of Austin by year end.

Hedges and concerns

- Tariff impacts above \$400M in the quarter across autos and energy.
- Intensifying competition and cost pressure in energy storage.
- Rising opex from R&D, legal proceedings and AI-linked equity awards.

News and context going into the print

Pre-release context only. Nothing below reveals the market reaction to this report.

- Tesla had posted record Q3 deliveries of roughly 497,000, but everyone knew the US EV tax credit expired on 30 September, so a demand pull-forward and a Q4 air pocket were the standing fear.
- The robotaxi pilot in Austin was running and the Street wanted timelines, not visions.
- The shareholder vote on Musk's trillion-dollar pay package was set for early November, keeping governance noise high.

FOMC backdrop (point-in-time, Fed event-study linkage)

Added under the Fed extension (Mode B): the most recent FOMC statement released before this print. The statement is scored separately in the Fed event study; its stance doubles as the macro input for the in-prompt conditioning arm.

- **Latest statement:** 17 September 2025 – 25bp cut to 4.00–4.25%, the first cut of 2025.
- **Stance read:** Dovish tilt: the cut was framed around a softening labour market.
- **Event-study convention:** statement scored against the short-rate proxy as the primary instrument (SPY, TLT and XLF secondary), close-to-close on statement day; IC against the continuous reaction is primary.

Candidate evidence quotes

1. “We are expecting to have no safety drivers in at least large parts of Austin by the end of this year” – Musk, prepared remarks.
2. “AI five chip will be 40 times better than the AI four chip” – Musk, Q&A.
3. “Essentially, 100% confident that we can solve unsupervised full self-driving at a safety level much greater than human” – Musk, Q&A.
4. “Total tariff impacts for Q3 for both businesses were in excess of \$400 million” – Taneja, prepared remarks.

Your scoring – fill in below, then seal

1 Sentiment score

Score: +0.60

Rationale. A record quarter, record energy and roughly \$4B of free cash flow, with a concrete robotaxi timeline in Austin. The autonomy optionality outweighs a modest tariff and cost drag.

2 Directional signal

Signal: BUY

Rationale. Record cash generation plus a near-term robotaxi catalyst is enough to carry a momentum name higher. BUY.

3 Structured summary

- **Deliveries and autos.** Record, but partly borrowed from Q4 through the credit expiry.
- **Autonomy and AI.** Big promises again, with timelines still soft.
- **Energy and cash.** The bright spot, records plus about \$4B of free cash flow.
- **Forward guide.** Capex accelerating sharply into 2026.

4 Evidence quotes

1. “We are expecting to have no safety drivers in at least large parts of Austin by the end of this year” – Musk, prepared remarks (robotaxi).
2. “Total tariff impacts for Q3 for both businesses were in excess of \$400 million” – Taneja, prepared remarks (costs).
3. “Essentially, 100% confident that we can solve unsupervised full self-driving at a safety level much greater than human” – Musk, Q&A (autonomy).

— SEALED —

Overnight move and call verification

TSLA close, 22 October 2025 (release day)	\$438.97
TSLA open, 23 October 2025	\$420.00
Overnight move (release close → next open)	−4.32%

Call verification

- HOLD band test: $|-4.32\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: the move is negative, so the correct directional call is **SELL**.
- Score given vs. correct call: signal was **BUY**. The correct call was **SELL**, so the call was **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	− 4.32%
D+1 close	+2.28%
D+3 close	+3.06%
D+5 close	+5.13%
D+10 close	+5.26%
D+20 close	−7.97%

x